

Federal Constitution

NOTES

Art. 97

Clause (3)

- a. The words “or in respect of the Federal Territory, in accordance with federal law” were inserted after the words “in accordance with State law” in line one, and after the words “State law” at the end of the Clause the words “or federal law, as the case may be” were inserted by Act A206, section 11, in force from 01-02-1974.
- b. The words “Islamic religious revenue” substituted for the words “Muslim revenue” by Act A354, section 45, in force from 27-08-1976.
- c. The words “Territories of Kuala Lumpur and Labuan” substituted for the word “Territory” by Act A585, section 20, in force from 16-04-1984.
- d. *See* Financial Procedure Act 1957 [*Act 61*].
- e. The words “Kuala Lumpur, Labuan and Putrajaya” substituted for the words “Kuala Lumpur and Labuan” by Act A1095, section 18, in force from 01-02-2001.

debt, and all expenditure in connection with the raising of loans on the security of the Consolidated Fund and the service and redemption of debt created thereby.

Annual financial statement

99. (1) The Yang di-Pertuan Agong shall, in respect of every financial year, cause to be laid before the House of Representatives a statement of the estimated receipts and expenditure of the Federation for that year, and, unless Parliament in respect of any year otherwise provides, that statement shall be so laid before the commencement of that year:

Provided that there may be separate statements of estimated receipts and estimated expenditure, and in that case it shall not be necessary for the statement of receipts to be so laid before the commencement of the year to which it relates.

(2) The estimates of expenditure shall show—

- (a) the total sums required to meet expenditure charged on the Consolidated Fund; and
- (b) subject to Clause (3), the sums required to meet the expenditure for other purposes proposed to be met from the Consolidated Fund.

(3) The sums to be shown under paragraph (b) of Clause (2) do not include—

- (a) sums representing the proceeds of any loan raised by the Federation for specific purposes and appropriated for those purposes by the Act authorizing the raising of the loan;
- (b) sums representing any money or interest on money received by the Federation subject to a trust and to be applied in accordance with the terms of the trust;
- (c) sums representing any money held by the Federation which has been received or appropriated for the purpose of any trust fund established by or in accordance with federal law.

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Art. 99

See Art. 102(b).

Clause (1): Proviso added by Act 14/1962, subsection 18(1), in force from 21-06-1962.

Clause (2)

a. The original Clause read as follows:

“(2) The estimates of expenditure shall show separately—

(a) the total sums required to meet expenditure charged on the Consolidated Fund;
and

(b) subject to Clause (3), the sums respectively required to meet the heads of other expenditure proposed to be met from the Consolidated Fund.”.

b. The word “separately” appearing after the words “shall show” were deleted and paragraph (b) was substituted by Act A354, section 18, in force from 27-08-1976.

Clause (3)

a. Paragraph (c) was added by Act 14/1962, subsection 18(2), in force from 21-06-1962.

b. *See* Art. 100 & 104(2).

Clause (4)

The word “purposes” substituted for the word “heads” by Act A354, paragraph 18(c), in force from 27-08-1976.

(4) The said statement shall also show, so far as is practicable, the assets and liabilities of the Federation at the end of the last completed financial year, the manner in which those assets are invested or held, and the general purposes in respect of which those liabilities are outstanding.

Supply Bills

100. The expenditure to be met from the Consolidated Fund but not charged thereon, other than expenditure to be met by such sums as are mentioned in Clause (3) of Article 99, shall be included in a Bill, to be known as a Supply Bill, providing for the issue from the Consolidated Fund of the sums necessary to meet that expenditure and the appropriation of those sums for the purposes specified therein.

Supplementary and excess expenditure

101. If in respect of any financial year it is found—

- (a) that the amount appropriated by the Supply Act for any purpose is insufficient, or that a need has arisen for expenditure for a purpose for which no amount has been appropriated by the Supply Act; or
- (b) that any moneys have been expended for any purpose in excess of the amount (if any) appropriated for that purpose by the Supply Act,

a supplementary estimate showing the sums required or spent shall be laid before the House of Representatives and the purposes of any such expenditure shall be included in a Supply Bill.

Power to authorize expenditure on account or for unspecified purposes

102. Parliament shall have power in respect of any financial year—

- (a) before the passing of the Supply Bill, to authorize by law expenditure for part of the year;
- (b) to authorize by law expenditure for the whole or part of the year otherwise than in accordance with Articles 99 to 101,

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Art. 100

1. *See* Art. 102(*b*).
2. The words “heads of” before the word “expenditure” in line one were deleted by Act A354, section 19, in force from 27-08-1976.

Art. 101

1. *See* Art. 102(*b*).
2. The word “purposes” substituted for the word “heads” by Act A354, section 20, in force from 27-08-1976.

Art. 102

See Art. 104(1)(*c*).

if owing to the magnitude or indefinite character of any service or to circumstances of unusual urgency it appears to Parliament to be desirable to do so.

Contingencies Fund

103. (1) Parliament may by law provide for the creation of a Contingencies Fund and for authorizing the Minister charged with responsibility for finance, if satisfied that there has arisen an urgent and unforeseen need for expenditure for which no other provision exists, to make advances from the Contingencies Fund to meet that need.

(2) Where any advance is made in accordance with Clause (1), a supplementary estimate shall be presented and a Supply Bill introduced as soon as possible for the purpose of replacing the amount so advanced.

Withdrawals from Consolidated Fund

104. (1) Subject to Clause (2), no moneys shall be withdrawn from the Consolidated Fund unless they are—

- (a) charged on the Consolidated Fund; or
- (b) authorized to be issued by a Supply Act; or
- (c) authorized to be issued under Article 102.

(2) Clause (1) does not apply to any such sums as are mentioned in Clause (3) of Article 99.

(3) No moneys shall be withdrawn from the Consolidated Fund except in the manner provided by federal law.

Auditor General

105. (1) There shall be an Auditor General, who shall be appointed by the Yang di-Pertuan Agong on the advice of the Prime Minister and after consultation with the Conference of Rulers.

(2) A person who has held the office of Auditor General

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Art. 103

See—

- a. Art. 109(5);
- b. Financial Procedure Act 1957 [*Act 61*], section 11.

shall be eligible for reappointment but shall not be eligible for any other appointment in the service of the Federation or for any appointment in the service of a State.

(3) The Auditor General may at any time resign his office but shall not be removed from office except on the like grounds and in the like manner as a judge of the Federal Court.

(4) Parliament shall by law provide for the remuneration of the Auditor General, and the remuneration so provided shall be charged on the Consolidated Fund.

(5) The remuneration and other terms of office (including pension rights) of the Auditor General shall not be altered to his disadvantage after his appointment.

(6) Subject to the provisions of this Article, the terms and conditions of service of the Auditor General shall be determined by federal law and, subject to the provisions of federal law, by the Yang di-Pertuan Agong.

Powers and duties of Auditor General

106. (1) The accounts of the Federation and of the States shall be audited and reported on by the Auditor General.

(2) The Auditor General shall perform such other duties and exercise such powers in relation to the accounts of the Federation and of the States and to the accounts of other public authorities and of those bodies which are specified by order made by the Yang di-Pertuan Agong, as may be provided by federal law.

Reports of Auditor General

107. (1) The Auditor General shall submit his reports to the Yang di-Pertuan Agong, who shall cause them to be laid before the House of Representatives.

(2) A copy of any such report relating to the accounts of a State, or to the accounts of any public authority exercising powers conferred by State law, shall be submitted to the Ruler or Yang di-Pertua Negeri of that State, who shall cause it to be laid before the Legislative Assembly.

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Art. 105

Clause (3)

- a. The words “Federal Court” substituted for the words “Supreme Court” by Act 26/1963, section 70, in force from 16-09-1963.
- b. Subsequently subsection 18(2) of Act A566, in force from 01-01-1985, provides that a reference to the Federal Court shall now be construed as a reference to the Supreme Court.
- c. Act A885, section 11, in force from 24-06-1994, substituted the word “Federal” for the word “Supreme”.

Clauses (4) & (6): See Audit Act 1957 [Act 62].

Art. 106

Clause (2)

- a. *See* Audit Act 1957 [Act 62].
- b. The words “of those bodies which are specified by order made by the Yang di-Pertuan Agong” substituted for the words “bodies administering public funds” by Act A354, section 21, in force from 27-08-1976.
- c. *See* Statutory Bodies (Accounts and Annual Reports) Act 1980 [Act 240].

Art. 107

Clause (2)

- a. *See* Art. 112A(1).
- b. The words “Yang di-Pertua Negeri” substituted for the word “Governor” by Act A354, section 42, in force from 27-08-1976.

National Finance Council

108. (1) There shall be a National Finance Council consisting of the Prime Minister, such other Ministers as the Prime Minister may designate, and one representative from each of the States, appointed by the Ruler or Yang di-Pertua Negeri.

(2) The National Finance Council shall be summoned to meet by the Prime Minister as often as he considers necessary and whenever the representatives of three or more States demand a meeting, but there shall be at least one meeting in every twelve months.

(3) At any meeting of the National Finance Council the Prime Minister may be represented by another Minister of the Federation, and the Prime Minister or, if he is not present, the Minister representing him, shall preside.

(4) It shall be the duty of the Federal Government to consult the National Finance Council in respect of—

- (a) the making of grants by the Federation to the States;
- (b) the assignment to the States of the whole or any portion of the proceeds of any federal tax or fee;
- (c) the annual loan requirements of the Federation and the States and the exercise by the Federation and the States of their borrowing powers;
- (d) the making of loans to any of the States;
- (e) the making of development plans in accordance with Article 92;
- (f) the matters referred to in Item 7(f) and (g) of the Federal List;
- (g) any proposal to introduce a Bill for such a law as is mentioned in Clause (2) of Article 109 or Clause (3) or (3A) of Article 110;
- (h) any other matter in respect of which this Constitution or federal law makes provision for consultation with the National Finance Council.

(5) The Federal Government may consult the National Finance Council in respect of any other matter, whether or not